

TERMS TO KNOW

MATURITY

Maturity is the time from today, in which the bond matures i.e. is due for redemption. So, a 7% 10-year Ultra Tech Cement Bond, has a maturity of 10 years if issued today. If the same bond was issued 3 years back, the maturity from today would be 7 years. The maturity of the fixed income asset will be determined by the time left for the bond to mature starting today. Maturity can range anywhere between a few months to 100 years. Some bonds do not have a maturity date i.e. perpetual bonds.

ISSUER

The issuer is the company/entity that has issued the fixed income bond. It is the entity that is borrowing the money and is liable to repay it on maturity. The financial health of the issuer determines the price and performance of fixed-income assets

COUPON RATE

Every bond that we buy has a fixed interest payment by the company. This interest can be paid every year or cumulatively at the end as well. The interest rate quoted in the name of the instrument is the coupon rate. For instance, a 7% 10 years Torrent Pharma Bond has a coupon rate of 7% i.e. the company is liable to pay an interest rate of 7% p.a.

YIELD TO MATURITY

When we buy a bond for less than Rs. 100 (original principal) i.e. at a discount, we get a slightly higher return than the coupon rate as we invested less than the original principal i.e. Rs. 100. When we buy bonds for more than Rs. 100 (original principal) i.e. at a premium, we get a return less than the coupon rate as we overpaid for the bond. This return, after adding or deducting return based on premium or discount at the time of purchase to the coupon, is called the yield to maturity. It depicts the actual returns from our investment.